

A low-angle, upward-looking shot of a modern skyscraper with a glass facade. The building's structure is composed of several vertical glass panels that reflect the sky. In the background, another tall building with a distinctive curved, lattice-like top is visible against a clear blue sky. The Bloomenergy logo is overlaid on the left side of the image.

Bloomenergy®

Q1 2022 Earnings

May 5, 2022

Bloomenergy

Forward-looking statements and non-GAAP financial measures

This press release contains certain forward-looking statements, which are subject to the safe harbor provisions of the Private Securities Litigation Reform Act of 1995. Forward-looking statements generally relate to future events or our future financial or operating performance. In some cases, you can identify forward-looking statements because they contain words such as “anticipate,” “believe,” “could,” “estimate,” “expect,” “intend,” “may,” “should,” “will” and “would” or the negative of these words or similar terms or expressions that concern Bloom’s expectations, strategy, priorities, plans or intentions. These forward-looking statements include, but are not limited to, Bloom’s expectations regarding revenue growth, margin expansion and its innovative solutions; Bloom’s expectations regarding its growth plans, Bloom’s financial outlook for 2022 and Bloom’s plans to host an investor conference and related programming. Readers are cautioned that these forward-looking statements are only predictions and may differ materially from actual future events or results due to a variety of factors including, but not limited to, Bloom’s limited operating history; the emerging nature of the distributed generation market and rapidly evolving market trends; the significant losses Bloom has incurred in the past; the significant upfront costs of Bloom’s Energy Servers and Bloom’s ability to secure financing for its products; Bloom’s ability to drive cost reductions and to successfully mitigate against potential price increases; Bloom’s ability to service its existing debt obligations; Bloom’s ability to be successful in new markets; the ability of the Bloom Energy Server to operate on the fuel source a customer will want; the success of the strategic partnership with SK ecoplant in the United States and international markets; timing and development of an ecosystem for the hydrogen market, including in the South Korean market; continued incentives in the South Korean market; the timing and pace of adoption of hydrogen for stationary power; the risk of manufacturing defects; the accuracy of Bloom’s estimates regarding the useful life of its Energy Servers; delays in the development and introduction of new products or updates to existing products; Bloom’s ability to secure partners in order to commercialize its electrolyzer and carbon capture products; the impact of the COVID-19 pandemic on the global economy and its potential impact on Bloom’s business; the availability of rebates, tax credits and other tax benefits; changes in the regulatory landscape; Bloom’s reliance on tax equity financing arrangements; Bloom’s reliance upon a limited number of customers; Bloom’s lengthy sales and installation cycle, construction, utility interconnection and other delays and cost overruns related to the installation of its Energy Servers; business and economic conditions and growth trends in commercial and industrial energy markets; global economic conditions and uncertainties in the geopolitical environment; overall electricity generation market; Bloom’s ability to protect its intellectual property; and other risks and uncertainties detailed in Bloom’s SEC filings from time to time. More information on potential factors that may impact Bloom’s business are set forth in Bloom’s periodic reports filed with the SEC, including our Annual Report on Form 10-k for the year ended on December 31, 2021 as filed with the SEC on February 25, 2022, as well as subsequent reports filed with or furnished to the SEC from time to time. These reports are available on Bloom’s website at www.bloomenergy.com and the SEC’s website at www.sec.gov. Bloom assumes no obligation to, and does not currently intend to, update any such forward-looking statements.

This presentation includes certain non-GAAP financial measures as defined by SEC rules. These non-GAAP financial measures are in addition to, and not a substitute for or superior to, measures of financial performance prepared in accordance with U.S. GAAP. There are a number of limitations related to the use of these non-GAAP financial measures versus their nearest GAAP equivalents. For example, other companies may calculate non-GAAP financial measures differently or may use other measures to evaluate their performance, all of which could reduce the usefulness of our non-GAAP financial measures as tools for comparison. We urge you to review the reconciliations of our non-GAAP financial measures to the most directly comparable U.S. GAAP financial measures set forth in the appendix to this presentation and in our earnings release, and not to rely on any single financial measure to evaluate our business. With respect to our expectations regarding our 2022 Outlook, we are not able to provide a quantitative reconciliation of non-GAAP gross margin and non-GAAP operating margin measures to the corresponding GAAP measures without unreasonable efforts.

Financial performance

\$ in millions	Q122	Q121	YoY
Acceptances (100kW)	375	359	4.6%
Total Revenue	\$201.0	\$194.0	3.6%
Product & Service Revenue	\$168.8	\$174.3	(3.2%)
Non-GAAP Gross Margin % ¹	15.8%	29.7%	(13.9)pts
Non-GAAP Op Income (Loss) ¹	(\$39.4)	\$2.8	(\$42.2)
Adjusted EBITDA ¹	(\$24.9)	\$16.1	(\$41.0)
Non-GAAP EPS ¹	(\$0.32)	(\$0.07)	(\$0.25)
Ending Cash	\$493.9	\$365.7	35.1%

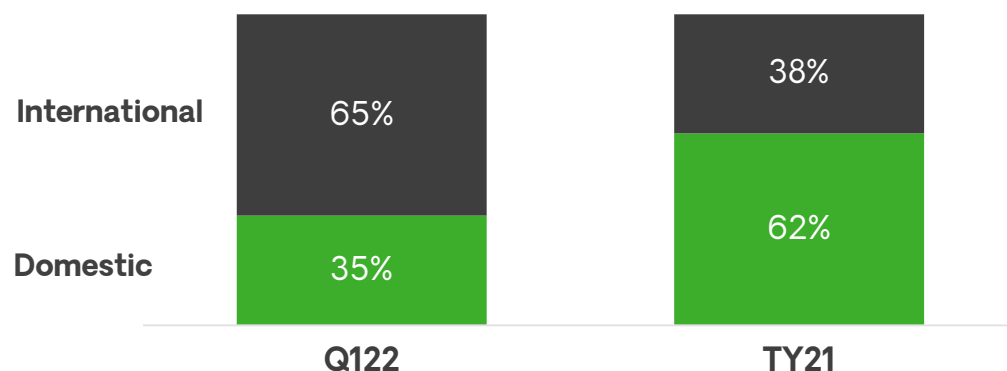
Note: Dollars in millions, except per share figures and percentages
 1. Please reference appendix for GAAP to Non-GAAP reconciliations

- **Record first quarter acceptances and revenue**
- **Investing in manufacturing capacity to meet demand**
- **Navigating a challenging global supply chain**
- **Strong cash position to fund growth**
- **Reaffirming 2022 outlook**

Revenue and margin analysis

	Q122			Q121		
\$ in millions	Revenue	Non-GAAP gross profit ¹	Non-GAAP gross margin ¹	Revenue	Non-GAAP gross profit ¹	Non-GAAP gross margin ¹
Product	\$133.5	\$30.1	22.5%	\$137.9	\$52.5	38.1%
Service	35.2	(5.7)	(16.2%)	36.4	1.0	2.7%
Install	13.6	1.5	11.0%	2.7	(1.5)	(55.6%)
Electricity	18.7	5.9	31.6%	17.0	5.7	33.5%
Total	\$201.0	\$31.8	15.8%	\$194.0	\$57.7	29.7%

Revenue breakdown



Product per unit economics³

\$ per kilowatt	Q122	TY21
Product ASP ²	\$3,561	\$3,548
Product Cost	2,760	2,477
Product Profit	\$801	\$1,071
Product Margin %	22.5%	30.2%

1. Please reference appendix for GAAP to Non-GAAP reconciliations
2. ASP refers to Average Selling Price
3. Calculated based on upfront acceptances of 375 in Q1'22, and 1,870 in 2021

Cash flow and debt analysis

Cash flows (\$ in Millions)	Q122	Q421	Q121
Beginning balance	\$ 615.1	\$ 319.9	\$ 416.7
Operating cash (CFOA) ¹	(92.4)	47.2	(89.0)
Investing cash	(18.5)	(5.2)	(12.9)
Financing cash	(10.1)	253.2	51.1
Exchange rate changes	(0.2)	(0.1)	(0.2)
Ending balance	\$ 493.9	\$ 615.1	\$ 365.7

¹: Cash flow from operating activities

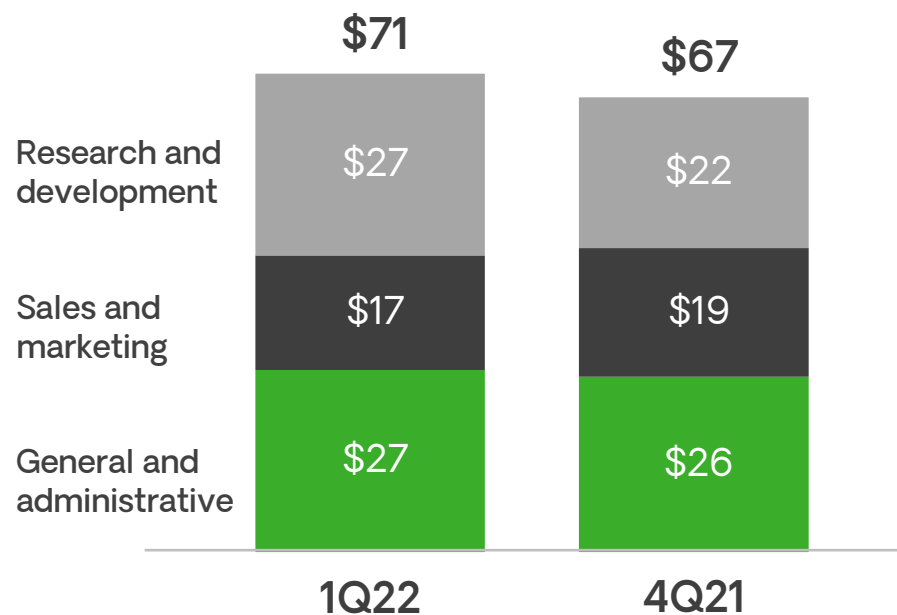
- **Investing in working capital to support 2022 build plan**
- **Expect to invest \$150 million of capex in FY'22 to double capacity**

Cash balances (\$ in Millions)	Q122	Q421	Q121
Restricted	\$ 207.9	\$ 219.1	\$ 185.0
Unrestricted	286.0	396.0	180.7
Total	\$ 493.9	\$ 615.1	\$ 365.7

Debt analysis (\$ in Millions)	Q122	Q421	Q121
Recourse	\$ 300.0	\$ 300.0	\$ 300.0
Non-recourse	234.9	239.7	222.2
Total	\$ 534.9	\$ 539.7	\$ 522.2

Non-GAAP operating expenses¹ overview

\$ millions



Continue to Invest For Growth:

- Investing in technology roadmap
- Expanding domestic and international commercial capability
- Ensure control environment and support functions scale with growth

1. Please reference appendix for GAAP to Non-GAAP reconciliations

Reaffirming 2022 financial outlook

Metric	2022 Outlook
Total Revenue	\$1.1–\$1.15B
Product & Service Revenue	~\$1B
Non-GAAP Gross Margin % ¹	~24%
Non-GAAP Operating Margin % ¹	~1%
Cash flows from Operations	Positive



- **Strong backlog to support revenue outlook**
- **Increasing manufacturing capacity to meet demand**
- **Navigating a challenging global supply chain**
- **Margins expected to expand as quarterly volumes increase**

1. Please reference appendix for GAAP to Non-GAAP reconciliations
 2. With respect to Bloom's expectations regarding its 2022 Outlook, Bloom is not able to provide a quantitative reconciliation of non-GAAP gross margin and non-GAAP operating margin measures to the corresponding GAAP measures without unreasonable efforts.

Appendix

Q1 2022

GAAP to Non-GAAP reconciliation: Gross profit and margin

\$ in millions	Q122	Q121
GAAP Revenue	\$201.0	\$194.0
GAAP cost of sales	173.1	139.4
GAAP gross profit	\$27.9	\$54.7
Non-GAAP adjustments:		
Stock-based compensation expense	\$3.9	\$3.0
Non-GAAP gross profit	\$31.8	\$57.7
GAAP gross profit margin	13.9%	28.2%
Non-GAAP adjustments	1.9%	1.5%
Non-GAAP gross profit margin	15.8%	29.7%

GAAP to Non-GAAP reconciliation: Operating profit (loss) and margin

\$ in millions	Q122	Q121
GAAP loss from operations	\$(65.7)	\$(14.4)
Non-GAAP adjustments:		
Stock-based compensation expense	26.3	17.2
Non-GAAP earnings (loss) from operations	\$(39.4)	\$2.8
GAAP operating profit (loss) margin	(32.7%)	(7.4%)
Non-GAAP adjustments	13.1%	8.9%
Non-GAAP operating profit (loss) margin	(19.6%)	1.4%

GAAP to Non-GAAP reconciliation: Non-GAAP net loss

\$ in millions	Q122	Diluted net earnings per share	Q121	Diluted net earnings per share
GAAP net loss	(\$78.4)	(\$0.44)	(\$24.9)	(\$0.15)
Non-GAAP adjustments:				
Loss for non-controlling interests	(\$4.4)	(0.02)	(\$4.9)	(0.03)
Loss (gain) on derivatives liabilities	(\$0.5)	(0.00)	\$0.5	0.00
Loss (gain) on the fair value adjustments for certain PPA contracts	-	-	(\$0.2)	(0.00)
Stock-based compensation expense	\$26.3	0.15	\$17.2	0.10
Non-GAAP net loss	(\$57.0)	(\$0.32)	(\$12.3)	(\$0.07)

GAAP to Non-GAAP reconciliation: Calculation of diluted net earnings per share

\$ in millions	Q122	Q121
Numerator:		
GAAP net loss	(\$78.4)	(\$24.9)
Non-GAAP net loss	(\$57.0)	(\$12.3)
Denominator:		
Weighted-average shares used to compute basic net earnings per share	177.2	170.7
Weighted-average shares used to compute diluted net earnings per share	177.2	170.7
GAAP net earnings per share		
Basic	(\$0.44)	(\$0.15)
Diluted	(\$0.44)	(\$0.15)
Non-GAAP net earnings per share		
Basic	(\$0.32)	(\$0.07)
Diluted	(\$0.32)	(\$0.07)

GAAP to Non-GAAP reconciliation: Adjusted EBITDA

\$ in millions	Q122	Q121
GAAP Net loss	(\$78.4)	(\$24.9)
Non-GAAP adjustments:		
Loss for non-controlling interests	(\$4.4)	(\$4.9)
Loss (gain) on derivatives liabilities	(\$0.5)	\$0.5
Loss (gain) on the fair value adjustments for certain PPA contracts	-	(\$0.2)
Stock-based compensation	\$26.3	\$17.2
Depreciation & amortization	\$14.4	\$13.5
Provision for income tax	\$0.6	\$0.1
Interest expense / other misc.	\$17.1	\$14.8
Adjusted EBITDA	(\$24.9)	\$16.1

GAAP to Non-GAAP reconciliation: Gross margin

Q122						Q121				
\$ in millions	Revenue	GAAP gross profit	SBC ¹	Non-GAAP gross profit	Non-GAAP gross margin %	Revenue	GAAP gross profit	SBC ¹	Non-GAAP gross profit	Non-GAAP gross margin %
Product	\$ 133.5	\$ 27.8	\$ 2.3	\$ 30.1	22.5%	\$ 137.9	\$ 50.6	\$ 1.9	\$ 52.5	38.1%
Install	13.6	0.8	0.7	1.5	11.0%	2.7	(1.9)	0.4	(1.5)	(55.6%)
Service	35.2	(6.6)	0.9	(5.7)	(16.2%)	36.4	0.3	0.7	1.0	2.7%
Electricity	18.7	5.9	--	5.9	31.6%	17.0	5.7	0.0	5.7	33.5%
Total	\$ 201.0	\$ 27.9	\$ 3.9	\$ 31.8	15.8%	\$ 194.0	\$ 54.7	\$ 3.0	\$ 57.7	29.7%

.1. Stock-based compensation

GAAP to Non-GAAP reconciliation: Operating expenses

\$ in millions	Q122	Q421
Operating expenses:		
Research and development	\$34.5	\$26.8
Sales and marketing	\$21.3	\$23.7
General and administrative	\$37.7	\$31.7
Total operating expenses	\$93.6	\$82.2
Stock-based compensation expense:		
Research and development	\$7.1	\$4.4
Sales and marketing	\$4.8	\$4.6
General and administrative	\$10.6	\$5.8
Stock-based compensation expense (operating expenses)	\$22.4	\$14.8
Non-GAAP Operating expenses ¹ :		
Research and development	\$27.4	\$22.4
Sales and marketing	\$16.6	\$19.1
General and administrative	\$27.1	\$26.0
Total non-GAAP operating expenses ¹	\$71.1	\$67.5

.1. Excluding stock-based compensation

A wide-angle, high-angle photograph of the San Francisco skyline, featuring numerous skyscrapers and buildings under a clear blue sky. The city's dense urban landscape is visible, with various architectural styles and colors of the buildings. The sky is a vibrant blue with some light, wispy clouds near the horizon.

Bloomenergy®

What
Powers
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